

Homework 1 (Part 0) - Real World Article / Chart Challenge

(25 points total)

Article Title	What to Watch When Bank Earnings Season Kicks Off, in Charts
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1. Discuss at least two (2) reasons why you think the article was written? [5 points]

Focus of this question
• This question encourages you to evaluate the arguments, evidence, assumptions, and conclusions about key issues (i.e. think critically about the article) • This question encourages you to develop your own knowledge, comprehension and conceptual understanding and to connect, synthesize, and/or transform your ideas into a new form (i.e. be a creative thinker and contribute your ideas and thoughts)

Write your answer below:

As someone who has no knowledge about the economy nor a background in finance, I can only glean what a typical person would gain from reading this article. I think that the reasons this article was written was to make the audience aware of an unusually high spike in losses that banks faced and could lead to economic losses in the upcoming quarter, and to subsequently prepare people for a negative shift in the economy leading to potential higher interest rates, profit losses, and the like. These losses affect loans, business confidence, and what direction the economy will go. The article lists all sorts of metrics such as commercial real-estate losses, profits from lending, liquidity for regionals, credit-card delinquencies, etc.

2. There are ten (10) charts in the article. Choose any five (5) charts, list them by their titles and discuss (for each chart) the chart's *affordances*, *accessibility* and *aesthetics* given the context of the article. If you need to, refer to Chapter 5 (Think like a designer) of Knafllic (2015) we discussed in class to understand the data product design concepts of *affordances*, *accessibility* and *aesthetics*. [5 points]

Focus of this question
• This question encourages you to develop your own knowledge, comprehension and conceptual understanding and to connect, synthesize, and/or transform your ideas into a new form (i.e. be a creative thinker and contribute your ideas and thoughts) • This question encourages you to connect your learning to “real world” issues or life experiences and consider diverse perspectives for the application of concepts in the paper to the real world

Write your answer below:

Affordance: Makes it obvious how the product is being used.

Chart 1: Banks' unrealized gains/losses on investment securities, quarterly

- Affordances: There is good contrast between the gains and losses on investment securities. The chart consists of little to no distractions, and it is very evident what this chart's purpose is: to emphasize the gains/losses of investment securities in recent years.
- Accessibility: Out of all the charts in this article, I think this one is the most accessible. By just glancing at the chart, the reader is already thinking “oh gosh, well it looks like this bank earnings season is probably going to be a rough one”.
- Aesthetics: This chart utilizes a good deal of color, whitespace, and alignment. There are only two main colors in this chart, grey and green, and they are just muted enough so they don't contrast heavily, but *just enough*, as well as being not too oversaturated. Whitespace is utilized well by leaving a lot of the bar chart blank to make room for the bank losses in recent years (2022-2024).

Chart 4: Net interest income, select banks

- Affordances: This chart has good affordance. The headers make it obvious as to what each bar represents, and there is only one x-axis label under Wells Fargo that tells you how to divvy up each bar, and that translation is assumed for the rest of the banks.

- Accessibility: This chart is also very accessible. Just by scanning the chart for less than 10 seconds, I can already understand how to read this chart without any background in finance. The y-axis is also formatted very well, leaving a decent amount of whitespace to highlight the differences in interest income per bank, and it does a good job to not make the chart feel overwhelming.
- Aesthetics: There is only one color in the entire chart which means there is no extra cognitive reasoning and deducing I need to do to. It is clean, simple, and isn't overcrowded either.

Chart 5: Noninterest-bearing deposits as a percentage of total deposits, select banks

- Affordances: Even though I do not know what “noninterest-bearing accounts” are without looking it up on Google, I can assume that the decline of them is not a good thing for banks. This chart is less clear about what it is for, strictly because I do not have the background in finance to deduce information from it. I also cannot strictly say if it is a good thing that these benchmarks are declining without at least a little more description about what this means.
- Accessibility: I would say that this chart is less accessible than the previous charts I looked at. There are a lot of overlapping colors in muted tones that can be hard to follow from their starting point to their ending point. The muted tones also have similar hex values (JPMorgan Chase, PNC Financial, KeyCorp) which I can do with a little more brain power, but if people cannot deduce these colors individually, it might look confusing.
- Aesthetics: Overall, the design is solid. The colors are not too overwhelming (although I would opt to change a few of the gold tones and the muted green tone), and there is still some white space, so the chart doesn't feel too overcrowded. By sheer number of banks, they are comparing, it does feel a little more overwhelming, and less clear as to why these banks were chosen.

Chart 8: Delinquency rates on credit-card loans at commercial banks

- Affordances: Very easy to read and glean what is going on with this chart. The surrounding text (meaning the article) gives me just enough insight and background info to make this chart useful. It 100% goes together with the article and is a great way to visualize a growing concern for late credit-card payments.
- Accessibility: With only one metric being shown, this chart is very accessible. We have the dots on the line chart representing quarterly markings, the y-axis marking the year, and the x-axis marking delinquency rate. Lots of white space is present making the graph seem like an addition to the article to support claims rather than be the center of attention.
- Aesthetics: Super clean, minimal design which is handy for a supporting chart. I don't really have anything to complain about.

Chart 10: Global M&A volumes, by deal size

- **Affordances:** Very easy to read. There are no real distractions on the chart, the subtitles and all unimportant things are grey and left to find by the reader after initially taking in the data the chart is providing. Almost no clutter in the chart itself. One thing I noticed is that the current year (2024) is presented in a muted golden tone instead of a bold one like the previous years. I would think that it would be the opposite – the bolder tone belonging to the current year and the previous year's being muted.
- **Accessibility:** With only one metric being shown this chart is very accessible, just like chart 8. The number line is very simple and is grey except for the 0 on the x-axis. The gold tone could be bolder, and the muted tone can be slightly challenging to see (especially if you are colorblind).
- **Aesthetics:** Same as chart 8. Very clean, minimal design which is good for a supporting chart.

3. There are ten (10) charts in the article. Choose any three (3) charts and, for each chart, discuss the following:

- What you like about the chart
- What you do not like about the chart
- How you would improve the chart

[15 points – the answers for each chart you choose is worth 5 points]

Focus of this question
• This question encourages you to connect your learning to “real world” issues or life experiences and consider diverse perspectives for the application of concepts in the article to the real world • This question encourages you to reflect on what you are learning • This question encourages you to contribute your ideas and thoughts • Consider diverse perspectives (gender, political, ethnic, racial, etc.) • Challenges you to develop and present your own knowledge, comprehension, and conceptual understanding

Write your answer below:

Chart 1:

What I liked: The colors are kept simple and the impact of having such a profound graph up front make the article more enticing to read.

What I did not like: The only thing that I did not like for this chart was the slightest bit of transparency on the grey bars. It's just the smallest reason, but the translucency of it is bothering me.

How I would improve the chart: Adding a subtitle to the chart would be nice. I personally do not know what “investment securities” are and having more insight into what this chart is projecting would be nice.

Chart 5:

What I liked: I really liked the color coding of this chart. By making each bank a different color, it is easy to see how noninterest-bearing deposits are decreasing as more bank customers are putting their funds into interest-bearing accounts.

What I disliked: I did not really like the scaling of the chart. I don't know how urgent a decrease in noninterest-bearing deposits is, but I didn't really get anything out of looking at this chart.

How I would improve the chart: I would add a subtitle explaining what noninterest-bearing deposits are, and how it affects the economy.

Chart 10:

What I liked: I liked how easy this chart was to read. I could get a sense of how deal size was dropping compared to other years.

What I disliked: Again, I am not the most finance-savvy person, so while this chart was easy to glance at, I didn't really understand it just by looking at it. I had to read the supporting sentences (and Google a few things) to really understand it.

How I would improve the chart: In this chart, they use a gold color to mark the bars on the bar chart. However, the current year (2024) uses a muted version of this gold while the other bars are not muted. I would reverse the usage of the muted vs. standard for this chart, using the muted tones for the previous years and the standard color for the current year, 2024.